MARKET ANALYSIS

Developers Are Building Multifamily in San Antonio Without Disclosing Rents

Rosewood's Phase III start reveals a market where construction lenders are willing to finance before pricing is tested.

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A source-grounded Light Tower Insight. The complete note follows.

Rosewood Property Co. has begun leasing 359 units in San Antonio's Alamo Heights area, the third phase of a larger development called Tobin Estates. The project includes 265 apartments in four-story wraparound buildings and 94 units with private garages in two additional four-story structures. Construction started in May 2024. The lender is InterBank. The general contractor is Provident. The architect is WDG. The civil engineer is Westwood.

One number is missing from the announcement: starting rents.

That omission is not an oversight. It is a signal about how this deal was underwritten and what the construction lender was willing to accept.

Rosewood is a Dallas-based developer with a track record in Texas multifamily. It is not a newcomer testing a market. It is a sponsor that can command construction financing on the strength of its history and the location of the asset. Alamo Heights is one of San Antonio's most desirable submarkets, with strong schools, limited developable land, and a demographic profile that supports luxury rents. The lender, InterBank, is a Texas-based institution that knows the local market. The project includes 94 units with private garages, a feature that signals an upper-tier product aimed at renters who could also afford a for-sale townhouse but are choosing to rent.

That is the context. The tension is this: the developer is leasing into a market where the Federal Reserve has held rates higher for longer than most pro formas assumed when construction began in May 2024. The cost of capital has not fallen. The cost of construction has not fallen. The rent growth that underwriters penciled in two years ago may or may not materialize. And the developer has chosen not to disclose what it is asking for the units.

That is not a sign of weakness. It is a sign of discipline. Rosewood is not trying to set a market comp. It is trying to lease the building at whatever price clears, and it does not want to anchor itself to a number that a competitor or a prospective tenant can use against it. The lender, InterBank, is not demanding a public rent schedule as a condition of the loan. It is underwriting the sponsor, the location, and the construction timeline, not a specific rent roll that must be achieved by a certain date.

This is how construction lending works in a market where the bid-ask spread on rent is still wide. The lender is not betting on a specific rent level. It is betting that the developer can find the market-clearing price faster than the interest reserve runs out. The loan is structured around the cost to build and the time to lease, not around a pro forma that assumes a certain rent per square foot. The lender is buying time, not a number.

That is a different risk calculation than the one that prevailed in 2021 and 2022, when construction lenders were underwriting on rent growth assumptions that had not been tested by a rate cycle. Those loans are now the ones being restructured. The loans being made today, like this one, are being underwritten on a narrower set of assumptions: that the location will attract tenants, that the sponsor can execute, and that the interest reserve is large enough to absorb a slower lease-up than the pro forma assumes.

The market should test whether this underwriting approach holds as more units come online in San Antonio. The city has been one of the fastest-growing multifamily markets in the country, but it has also been one of the most active in terms of new supply. The risk is not that Rosewood cannot lease 359 units. The risk is that the rent it achieves is lower than the rent the next developer needs to achieve to make its own numbers work. That is how a market reprices: not through a single transaction, but through the accumulation of lease-up data that forces every pro forma to adjust.

Rosewood is not disclosing its starting rents because it does not want to be the data point that resets the market. That is rational. But the market will get the data anyway, through lease-by-lease reporting, through the performance of the interest reserve, and through the eventual refinancing. The question is not whether the rents will be disclosed. The question is whether they will be high enough to support the next phase of development.

For now, the construction lender is willing to wait for the answer. That is the real signal in this announcement. InterBank is not demanding certainty. It is demanding a credible sponsor, a defensible location, and enough time. That is a reasonable underwriting stance for this moment in the cycle. The question is how many other lenders will adopt it, and how many will demand a number before they commit.

SOURCES

— RE Business Online — https://rebusinessonline.com/rosewood-begins-leasing-359-unit-multifamily-project-in-san-antonio/

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